

Pharma Research

 **Neutral**

Investing for growth, not near-term margins

Key Points

- 2Q sales beat expectations, led by medical device and cosmetics revenue growth, but OPM missed due to higher sales-related costs.
- Business momentum re-accelerated, supported by the K-beauty tailwind, stronger overseas distribution management, and marketing investment.
- We raise our TP 18% to Won390K on improved growth prospects, but remain Neutral given mgmt's focus on growth investment rather than margin expansion.

- **2Q sales beat, but margin miss on investment.** Pharma Research's 2Q sales rose 27% YoY to Won179bn, 11% above MQE, as products across the Rejuran ecosystem gained traction, supported by inbound tourism and the K-beauty tailwind. However, OPM came in at 37%, below MQE of 40%, as mgmt reinvested above-target profits into marketing and e-commerce commissions.
- **Medical device momentum re-accelerates.** Medical device sales grew 14% YoY, driven by resilient domestic and overseas demand. In addition to favourable seasonality, medical tourism demand remained robust. Mgmt's efforts to improve sales management at individual overseas distributors contributed to 33% YoY growth in overseas medical-device sales. Notably, EU sales reached c.Won5bn in 2Q (vs. Won2bn in 1Q), putting its full-year EU sales target of Won10bn within reach.
- **Cosmetics growth gains traction.** Domestic and overseas cosmetics sales grew 47% and 124% YoY, respectively. In Korea, Olive Young and duty-free channels led growth, while mgmt plans to enter Coupang from 3Q. Overseas cosmetics sales grew broadly across Asia, the US, and Europe through e-commerce, supported by the K-beauty tailwind.
- **Prioritising top-line expansion.** PR reiterated its intention to maintain OPM in the high-30% range and reinvest above-target profits to bolster the Rejuran ecosystem. We view this positively as it should strengthen the long-term growth platform for cosmetics and medical devices.

Earnings changes: Raise FY26/27/28E EPS by 19%/20%/17% on a more upbeat outlook for the overseas medical device and cosmetics businesses.

Valuation: Raise TP 18% to Won390k (from Won330k) as we believe aesthetics products in the Rejuran ecosystem are well positioned to benefit from the K-beauty tailwind. Maintain target multiple at 21x FY26E P/E.

Catalysts: Upside: Deeper CVC involvement in operations, Rejuran overseas wholesale price hike. Downside: intensified domestic competition.

Investment Thesis and Recommendation

Global demand for Rejuran should accelerate as its injectables and cosmetics penetrate overseas markets. However, slow initial EU rollout and suboptimal overseas pricing policies highlight ongoing execution risks.

Pharma, Biotech & Life Sciences Korea



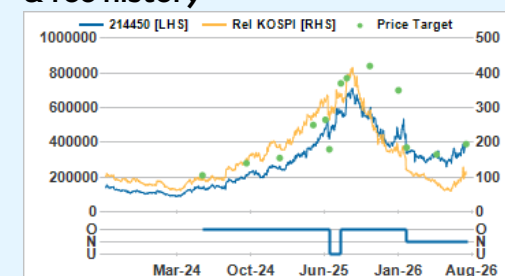
**Jun
Choi**

214450 KS	Neutral
Price (at 7 Aug 2026)	KRW378,500
12-month target	KRW390,000
12-month TSR (%)	4.2
Volatility Index	High
Market Cap (Local) (m)	3,932,482
Market Cap (USD) (m)	2,763
Free Float (%)	54
30-day avg turnover (USD) (m)	53.1

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	536.3	717.5	870.0	978.5
Revenue growth (%)	53.2	33.8	21.3	12.5
EBIT (bn)	214.4	269.0	330.6	384.1
EBIT growth (%)	70.1	25.5	22.9	16.2
Reported profit (bn)	165.1	217.5	257.9	299.7
Adjusted profit (bn)	165.1	217.5	257.9	299.7
EPS rep [KRW]	14,241.1	18,804.6	22,301.6	25,908.4
EPS rep growth (%)	65.9	32.0	18.6	16.2
EPS adj [KRW]	14,245.9	18,804.6	22,301.6	25,908.4
EPS adj growth (%)	64.7	32.0	18.6	16.2
Net debt/equity (%)	(24.2)	(35.1)	(45.3)	(52.5)
ROA (%)	22.6	23.4	24.2	24.1
ROE (%)	26.9	28.0	26.5	25.0
PER rep (x)	26.6	20.1	17.0	14.6
PER adj (x)	26.6	20.1	17.0	14.6
EV/EBITDA (x)	18.8	15.0	12.4	10.7
P/BV (x)	6.4	5.1	4.1	3.3
Total div yield (%)	1.0	1.2	1.4	1.7
Quant (rank vs. global sector)	256 / 1,204			

214450 KS rel KOSPI performance, & rec history



Source: FactSet, Macquarie Research, Aug 2026 (all figures in KRW unless noted, TP in KRW)

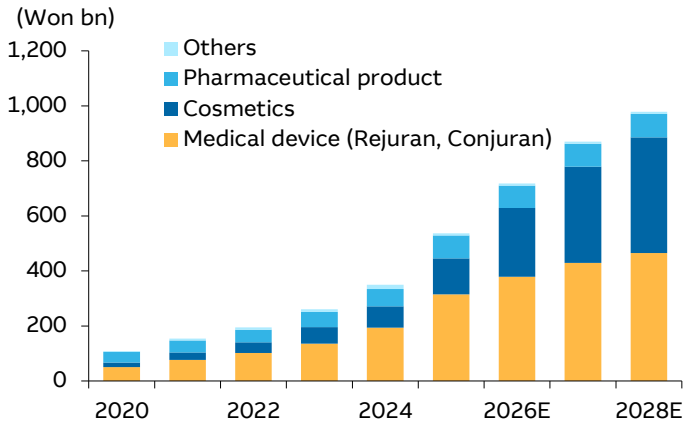
Key Risks to Investment Thesis

- Downside: Increased domestic competition from generics/vague mgmt communication to investors.
- Upside: PE involvement in IR and day-to-day operations/wholesale price hikes for injectables.

Company Description

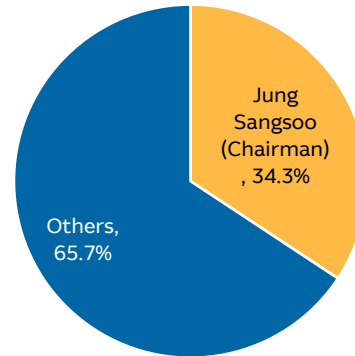
Pharma Research gained recognition with the launch of its signature skin booster, "Rejuran," in 2014. Pioneering the manufacturing technology for PDRN, a tissue-regenerative raw material sourced from Salmon DNA, underscores the company's innovative prowess. Expanding beyond medical aesthetic products, Pharma Research now offers a diverse portfolio encompassing cosmetics, pharmaceuticals, and health supplements

Figure 1 - Pharma Research: Sales mix



Source: Company data, Macquarie Research, August 2026

Figure 2 - Pharma Research: Stock ownership



Source: Bloomberg, Macquarie Research, August 2026

As of 7 August 2026.

Pharma Research (214450 KS) KRW/(bn) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q2/26A	Q3/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		536.3	717.5	870.0	978.5	178.7	192.9	Cash	175.7	316.8	504.5	713.9
Cost of Goods Sold		125.1	164.0	187.9	219.4	41.2	43.6	Receivables	44.5	63.4	70.5	76.2
Gross Profit		411.2	553.5	682.1	759.1	137.5	149.3	Inventories	82.7	120.4	121.7	139.4
EBITDA		230.2	286.3	348.7	402.9	70.8	78.9	Investments	398.8	411.4	411.4	411.4
Depreciation		11.4	12.8	14.2	15.5	3.2	3.2	Fixed Assets	174.6	195.9	215.0	232.9
Amortisation		4.4	4.4	3.8	3.3	1.1	1.1	Intangibles	31.5	27.6	23.8	20.5
EBIT		214.4	269.0	330.6	384.1	66.5	74.5	Other Assets	136.3	124.9	124.9	124.9
Net Interest Income		(4.4)	(6.4)	(6.5)	(6.5)	(1.6)	(1.6)	Total Assets	1,044	1,261	1,472	1,719
Associates		0.4	1.8	1.8	1.8	0.5	0.5	Payables	11.5	18.8	19.0	21.7
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	0.0	0.1	0.1	0.1
Forex Gains / Losses		0.0	0.0	0.0	0.0	0.0	0.0	Long Term Debt	0.4	0.4	0.4	0.4
Other Pre-Tax Income		6.1	20.0	10.9	10.9	2.7	2.7	Other Liabilities	308.1	338.9	338.9	338.9
Pre-Tax Profit		216.5	284.4	336.8	390.3	68.0	76.1	Total Liabilities	320.0	358.1	358.3	361.1
Tax Expense		(48.3)	(63.7)	(74.1)	(85.9)	(11.8)	(16.7)	Shareholders' Funds	690.9	867.6	1,079	1,323
Net Profit		168.3	220.7	262.7	304.5	56.2	59.3	Minority Interests	34.6	35.6	35.6	35.6
Minority Interests		(3.1)	(3.2)	(4.8)	(4.8)	0.3	(1.2)	Other	(1.6)	(0.8)	(0.8)	(0.8)
Reported Earnings		165.1	217.5	257.9	299.7	56.6	58.1	Total S/H Equity	723.9	902.4	1,114	1,358
Adjusted Earnings		165.1	217.5	257.9	299.7	56.6	58.1	Total Liab & S/H Funds	1,044	1,261	1,472	1,719
Basic Shares Outstanding		0.0	0.0	0.0	0.0	0.0	0.0	Net Debt / Equity (%)	(24.2)	(35.1)	(45.3)	(52.5)
Diluted Shares Outstanding		0.0	0.0	0.0	0.0	0.0	0.0	Interest Cover (x)	48.5	42.0	51.2	59.5
EPS (rep) [KRW]		14,241.1	18,804.6	22,301.6	25,908.4	4,891	5,026	ROE (%)	26.9	28.0	26.5	25.0
EPS (adj) [KRW]		14,245.9	18,804.6	22,301.6	25,908.4	4,891	5,026	ROA (%)	22.6	23.4	24.2	24.1
Total DPS [KRW]		3,699.7	4,500.0	5,300.0	6,300.0	0.0	0.0	ROIC (%)	41.1	38.1	44.0	49.2
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		53.2	33.8	21.3	12.5	-	-	EBITDA	230.2	286.3	348.7	402.9
EBITDA Growth (%)		64.8	24.3	21.8	15.6	-	-	Tax Paid	(48.3)	(63.7)	(74.1)	(85.9)
EBIT Growth (%)		70.1	25.5	22.9	16.2	-	-	Chgs in Working Cap	(31.0)	(49.3)	(8.1)	(20.7)
EPS Growth (adj) (%)		64.7	32.0	18.6	16.2	-	-	Net Interest Paid	(4.4)	(6.4)	(6.5)	(6.5)
Gross Profit Margin (%)		76.7	77.1	78.4	77.6	-	-	Other	36.6	3.9	12.7	12.7
EBITDA Margin (%)		42.9	39.9	40.1	41.2	-	-	Operating Cashflow	183.2	170.7	272.6	302.5
EBIT Margin (%)		40.0	37.5	38.0	39.3	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		30.8	30.3	29.6	30.6	-	-	Capex	(29.7)	(33.3)	(33.3)	(33.3)
Payout Ratio (%)		26.0	23.9	23.8	24.3	-	-	Other	(126.2)	4.6	(4.8)	(4.8)
PE (rep) (x)		26.6	20.1	17.0	14.6	-	-	Investing Cashflow	(155.9)	(28.7)	(38.1)	(38.1)
PE (adj) (x)		26.6	20.1	17.0	14.6	-	-	Dividend (Ordinary)	(11.7)	0.0	(46.8)	(55.1)
EV/EBITDA (x)		18.8	15.0	12.4	10.7	-	-	Equity Raised	(3.7)	0.0	0.0	0.0
EV/EBIT (x)		20.2	16.0	13.0	11.2	-	-	Debt Movements	(1.0)	0.0	0.0	0.0
Price/Book (x)		6.4	5.1	4.1	3.3	-	-	Other	1.2	(4.3)	0.0	0.0
Total Div Yield (%)		1.0	1.2	1.4	1.7	-	-	Financing Cashflow	(15.3)	(4.3)	(46.8)	(55.1)
								Net Chg in Cash/Debt	10.3	141.1	187.7	209.4
								Free Cashflow	153.4	137.3	239.3	269.2

Source: Company data, Macquarie Research Aug 2026

07 August 2026

Figure 3 - Pharma Research: 2Q26 earnings

(Won bn)	2Q26	QoQ	YoY	1Q26	2Q25	MQ est.	Diff	Bloomberg	Diff
Sales	179	22%	27%	146	141	162	11%	168	6%
OP	66	16%	19%	57	56	64	4%	67	-1%
NP	56	15%	34%	49	42	51	10%	54	4%
OPM	37%			39%	40%	40%		40%	
NPM	31%			33%	30%	32%		32%	

Source: Company data, Bloomberg, Macquarie Research, August 2026

Figure 4 - Pharma Research: Valuation

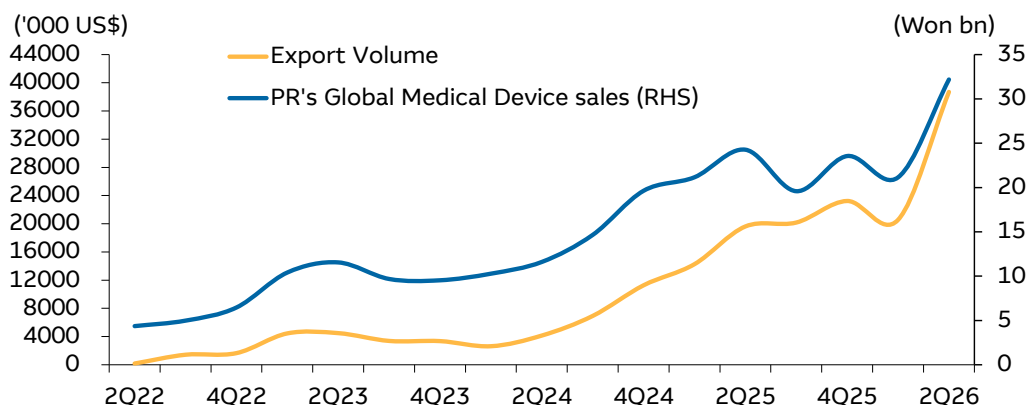
12-month fair value	(A) x (B)	390,000
2026E EPS	(A)	18,805
Target P/E ratio	(B)	21x
Current share price	(As of 7 Aug)	378,500
Upside		3%

Source: Macquarie Research, August 2026

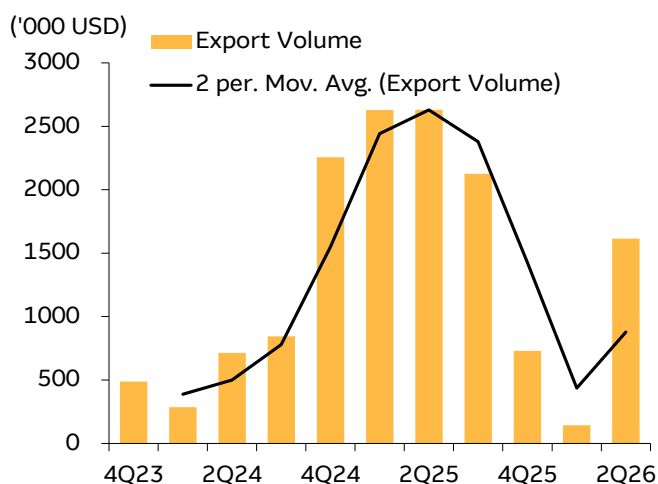
Figure 5 - Pharma Research: Earnings outlook

(Won bn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E	2028E
Sales	117	141	135	143	146	179	193	200	536	718	870	979
Domestic	72	90	85	85	88	95	97	97	332	378	425	456
Global	45	51	50	58	58	83	96	102	204	340	445	522
Medical device	69	85	77	83	80	97	100	102	314	379	429	465
Domestic	48	61	57	60	58	64	67	68	226	257	283	297
Global	21	24	20	24	21	32	33	35	89	121	146	167
Cosmetics	28	31	35	38	42	60	70	78	132	250	350	420
Domestic	11	11	13	12	15	17	17	19	47	68	86	103
Global	17	19	22	26	27	44	53	59	84	182	264	317
Pharmaceutical product	17	20	22	23	21	18	21	20	83	81	83	86
Domestic	11	13	13	14	11	11	12	11	51	44	48	48
Global (Toxin)	7	7	9	9	10	8	9	9	31	36	35	38
OP	45	56	62	52	57	66	75	71	214	269	331	384
NP	36	42	51	39	49	56	59	56	165	217	258	300
Product Mix												
Medical device	59%	60%	57%	58%	54%	54%	52%	51%	59%	53%	49%	48%
Cosmetics	24%	22%	26%	26%	29%	34%	36%	39%	25%	35%	40%	43%
Pharmaceutical product	15%	15%	16%	16%	15%	10%	11%	10%	15%	11%	10%	9%
GROWTH (%QoQ)												
Sales		20%	-4%	6%	2%	22%	8%	4%		34%	21%	12%
Medical device		22%	-10%	8%	-4%	22%	4%	2%		20%	13%	8%
Cosmetics		10%	14%	7%	12%	43%	16%	11%		90%	40%	20%
Pharmaceutical product		19%	8%	4%	-7%	-14%	14%	-5%		-2%	3%	3%
OP		25%	11%	-16%	10%	16%	12%	-5%		25%	23%	16%
NP		17%	21%	-23%	24%	15%	6%	-5%		32%	19%	16%
PROFITABILITY												
OPM	38%	40%	46%	36%	39%	37%	39%	35%	40%	37%	38%	39%
NPM	31%	30%	38%	27%	33%	31%	31%	28%	31%	30%	30%	31%

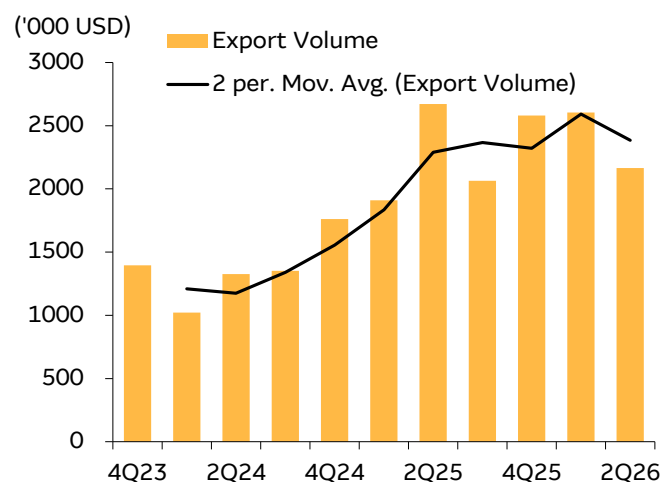
Source: Company data, Macquarie Research, July 2026

Figure 6 - Pharma Research: Rejuran exports are back on track

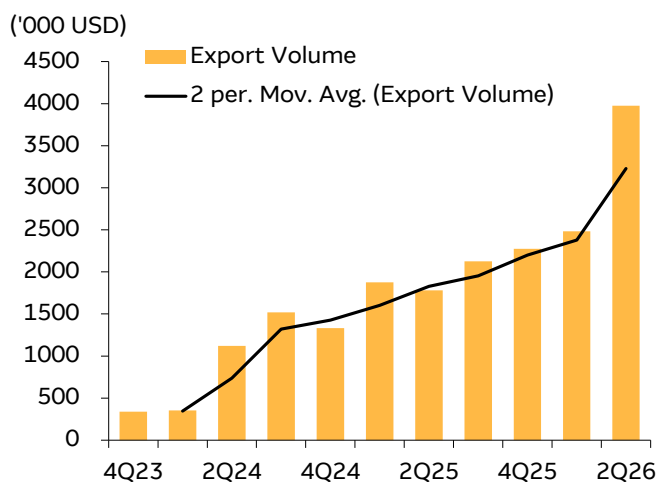
Source: KITA, company data, Macquarie Research, August 2026

Figure 7 - Japan export data trend

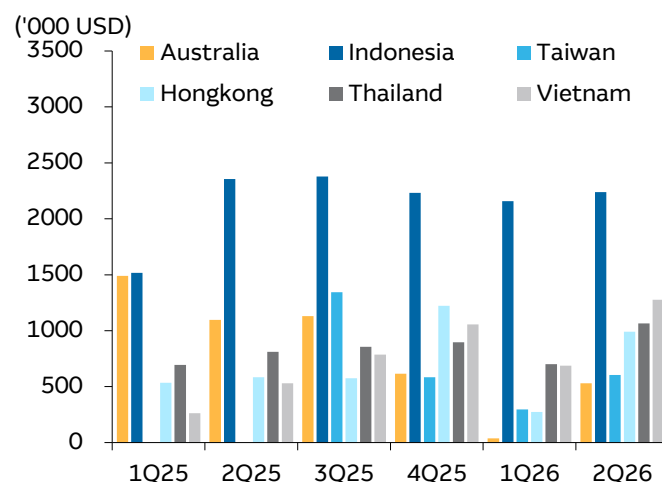
Source: KITA, Macquarie Research, August 2026

Figure 8 - China export data trend

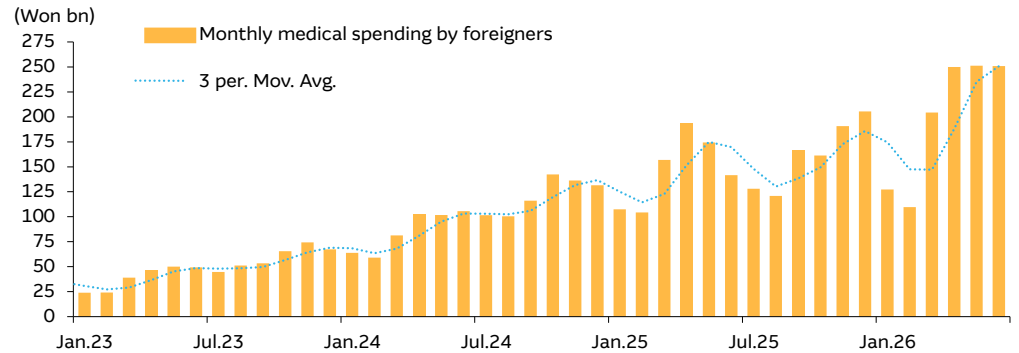
Source: KITA, Macquarie Research, August 2026

Figure 9 - Singapore export data trend

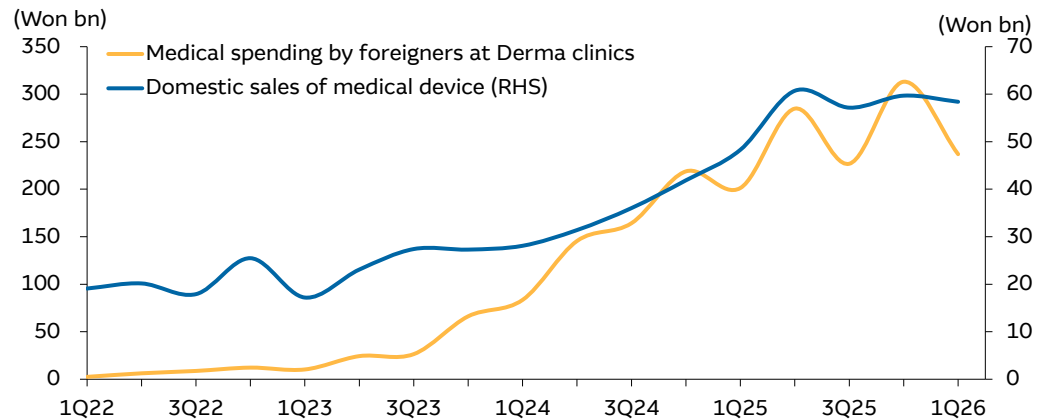
Source: KITA, Macquarie Research, August 2026

Figure 10 - Export trends to global markets

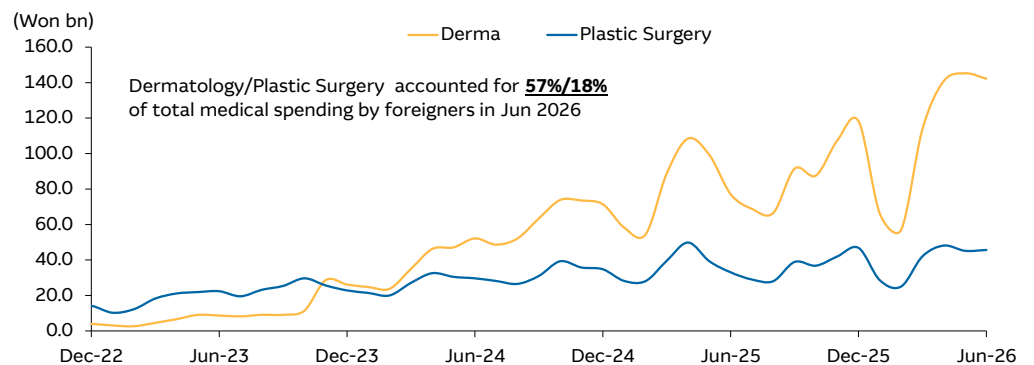
Source: KITA, Macquarie Research, August 2026

Exhibit 1 - Monthly trend in medical spending in Korea by foreigners

Source: Korea Tourism Organization, Macquarie Research, August 2026

Figure 11 - Rejuran domestic sales vs. medical spending by foreigners at dermatology clinics

Source: Korea Tourism Organization, company data, Macquarie Research, August 2026

Figure 12 - Foreigners' spending at dermatology clinics vs. plastic surgery

Source: Korea Tourism Organization, Macquarie Research, August 2026

Key Quant Findings

The quant model currently holds a marginally positive view on Pharma Research. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Price Momentum, indicating this stock has had weak medium to long term returns which often persist into the future.

Macquarie Alpha Model: Key rankings

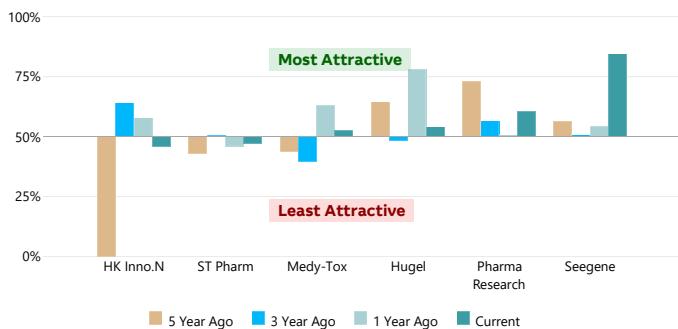
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Korea	Pharma, Biotech & Life Sciences
Macquarie Alpha Model	6970/17984	308/782	256/1204
Fundamental (Consensus) *	2087/17984	149/782	232/1204

* based on Total Shareholder Return = Consensus Price target / Current Price

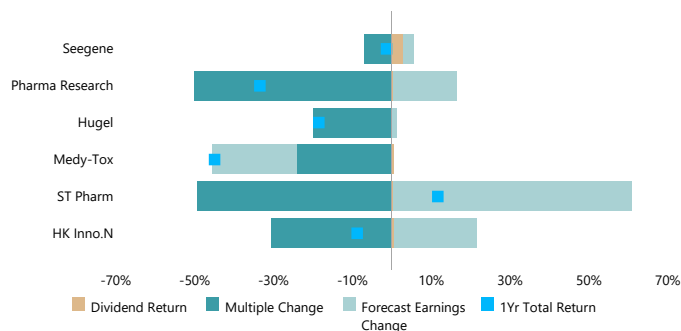
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



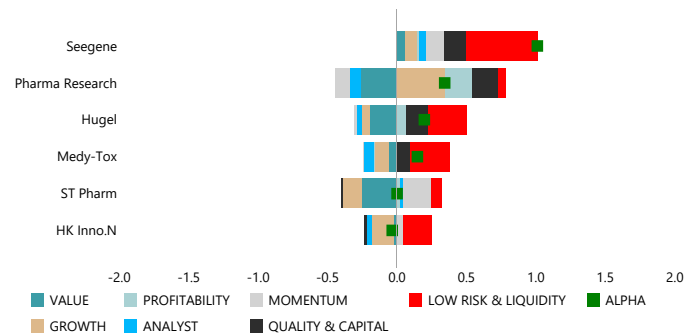
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/1204)	market (/782)	
ALPHA	79%	61%	Built from the styles below
VALUE	71%	36%	Book, CF, Yield, Earnings Multiples
ANALYST	38%	68%	Revisions (Earnings, Recommendations)
MOMENTUM	25%	38%	Price Momentum
GROWTH	60%	89%	EPS, Sales (Forecast, Historic)
PROFITABILITY	95%	95%	ROE, Margin, Asset Turnover
QUALITY	82%	87%	Accruals, Earn Stability, Cash Conversion
CAPITAL	78%	77%	Investment/Capex, Net share issuance
LIQUIDITY	18%	54%	Size, Turnover, Analyst Coverage
LOW RISK	77%	54%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	16%	34%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Jul - 26	Jun - 26	May - 26	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25		
ALPHA	10%	1%	3%	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	9%	6%
VALUE	19%	-5%	1%	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	14%	5%
ANALYST	-12%	7%	4%	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	12%	13%
MOMENTUM	-35%	15%	17%	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-4%	2%
GROWTH	-19%	9%	7%	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	2%	1%
PROFITABILITY	3%	6%	1%	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-3%	-2%
QUALITY	7%	-3%	-2%	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-5%	-2%
CAPITAL	14%	-7%	-1%	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	3%	-4%
LIQUIDITY	-11%	8%	10%	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-3%	3%
LOW RISK	29%	-6%	-8%	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-5%	-6%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccaperequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/dr/rp/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25–40% in a year. Low – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 30 Jun 2026

	AU/NZ	Asia	USA	
Outperform	65.38%	70.02%	64.29%	(for global coverage by Macquarie, 1.91% of stocks followed are investment banking clients)
Neutral	27.62%	16.78%	35.71%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	6.99%	13.19%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

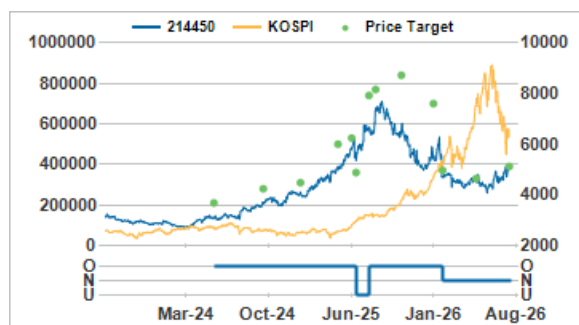
Company Name	Disclosure
Pharma Research (214450 KS) Neutral 12-month target: KRW390,000 - PER Valuation: KRW 390,000 - PER Price: KRW378,500	None

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Recommendation history

Company name	Date	Recommendation	Target price
Pharma Research (214450 KS)	7-Aug-2026	Neutral	KRW 390000.00
	9-May-2026	Neutral	KRW 330000.00
	7-Feb-2026	Neutral	KRW 370000.00
	13-Jan-2026	Outperform	KRW 700000.00
	18-Oct-2025	Outperform	KRW 840000.00
	9-Aug-2025	Outperform	KRW 770000.00
	22-Jul-2025	Outperform	KRW 740000.00
	17-Jun-2025	Underperform	KRW 360000.00
	5-Jun-2025	Outperform	KRW 530000.00



29-Apr-2025	Outperform	KRW 500000.00
17-Jan-2025	Outperform	KRW 310000.00
8-Oct-2024	Outperform	KRW 280000.00
27-May-2024	Outperform	KRW 210000.00

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